

if you ask for one donkey, you get only one donkey. (And if you ask for 10 you'll never get more than 10.)

Phelps also uses an analogy from his experiences hunting for elephants in equatorial Africa. (Not very PC, I know. Different era.) “When looking for the biggest game, be not tempted to shoot at anything small.”

So, rule number one for finding 100-baggers is that you have to look for them — and that means you don't bother playing the game for eighths and quarters, as the saying goes. Don't waste limited mental bandwidth on stocks that might pay a good yield or that might rise 30 percent or 50 percent.

You only have so much time and so many resources to devote to stock research. Focus your efforts on the big game: The elephants. The 100-baggers.

#2 Growth, Growth and More Growth

There is no way around it. Almost all of the businesses in the 100-bagger study were substantially bigger businesses at the end than when they began. (There is an exception to this, which I'll highlight below.)

So, you need growth — and lots of it. But not just any growth. You want value-added growth. You want “good growth.” If a company doubles its sales, but also doubles the shares outstanding, that's no good. You want to focus on growth in sales and earnings per share.

Likewise, if a company generates a lot of extra sales by cutting its prices and driving down its return on equity, that may not be the kind of growth you're looking for. You want to find a business that has lots of room to expand — it's what drives those reinvestment opportunities.

And yes, I'm being intentionally vague about whether you want sales growth or earnings growth. You'd love both. But there are also examples of 100-baggers that grew sales at a high rate but did not show much in the way of reported earnings through the high-growth phase. (Comcast and Amazon are examples we covered.)

Earnings are the reported numbers, whatever they are. Earnings power, however, reflects the ability of the stock to earn above-average rates of return on capital at above-average growth rates. It's essentially a longer-term assessment of competitive strengths.